Supreme Court, U.S.
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No. 96-1033

IN THE
SUPREME COURT OF THE UNITED STATES
October Term, 1996

LORDS LANDING VILLAGE CONDOMINIUM
COUNCIL OF UNIT OWNERS,

Petitioner,

v.

CONTINENTAL INSURANCE COMPANY,

Respondent.

Petition For Writ of Certiorari To The
United States Court of Appeals
For The Fourth Circuit

PETITIONER'S REPLY MEMORANDUM

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In its opposing brief Respondent argues that despite the decision in *Sheets v. Brethren Mutual*, 342 Md. 634, 679 A.2d 540 (1996), a federal court applying Maryland Law is free to use an objective standard to determine whether an occurrence has taken place under a general liability insurance policy, unless that action involves an insurer's duty to defend in a case based on an underlying negligence action.

In an attempt to persuade this Court that its position is correct Respondent:

(a) misleads the Court by intentionally failing to inform the Court of the jury instructions on which the verdict sheet was based;

(b) confuses "negligent acts" with negligence causes of action; and

(c) creates a scenario that would encourage forum shopping since principles of federalism would not require federal courts to follow Maryland's highest court's pronouncement that an objective test will render the policy all but meaningless.

Much of Respondent's argument is simply a red herring based on the faulty premises that a "negligent act" is the same as a negligence cause of action. More, troubling, however, is Respondent's false implication that the jury verdict sheet proves that Respondent's insured knew that its statements were false when they were made to the unit owners at Lord's Landing.

At page ten (10) of its brief, Respondent partially quotes from the jury verdict sheet in an attempt to show that the jury verdict against its insured required knowledge of the falsity of the insured's misrepresentation. In using this truncated quote to distinguish the present case from *Sheets*, Respondent fails to advise the Court that the jury instruction for issue number five (5) states:

> "This section of the Act does not require the seller to have knowledge of falsity or intent to deceive. This section only requires a false deceptive statement that has the capacity to mislead the consumer."App. 3a.[1]

In addition, Respondent failed to advise the Court that the

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[1]All App. sites in this Memorandum refer to the appendix for the Reply Memorandum. This includes the jury instructions for issues 5, 6 and 7 that were part of the record Extract below at pages 568 - 571. Petitioner has also included another copy of the verdict sheet for ease of comparison. The verdict sheet also appears in the appendix to the Petition for Certiorari.

jury instructions at count 6 involved concealment and count 7 did require scienter or knowledge. App. 3a - 4a. However, the jury found no liability on the part of the insured under these counts. App. 7a. (compare the jury verdict sheet and the jury instructions for issue five (5) with issues six (6) and seven (7) App. 3a - 7a. Thus there is no merit to the assertion that the jury found that Respondent's insured knew that its representations were false. In fact, the jury verdict sheet and jury instructions lead to an opposite conclusion.

Respondent's argument that *Sheets* is strictly limited to pure negligence causes of action involving a duty to defend, fares no better than its jury verdict argument. Respondent's analysis ignores the fact that negligent acts can give rise to a number of legal theories not just causes of action for negligence. For example, in rendering its opinion in *Sheets* Maryland's Court of Appeals harmonized and explained three negligent act cases that it had previously decided. Id. *Sheets*, 342 Md. at 650, 679 A.2d at 547.

The first of these cases was *Haynes v. Am. Cas. Co.*, 228 Md. 394, 179 A. 2d 900 (1962) which involved "a technical trespass... through the unwitting and heedless act of the insured's employees in going on the land of another..." Id. *Haynes,* 228 Md. at 399, 179 A.2d at 903. By listing the *Haynes* case as a negligent act case, the *Sheet's* Court recognized that negligent act cases are not limited to cases brought under pure negligence theories.

Moreover, the *Haynes* case did involve a suit for indemnification and the Sheets court recognized that at least one of the other cases it was harmonizing involved indemnification. *Haynes,* 228 Md at 395, 396, 179 A.2d at 901-902 ("...the instant action was filed...seeking damages for

breach of contract by the Appellee in not paying the judgment"); *Sheets* 228 Md at 651, 6679 A.2d at 549 ("... Contractor sought to recover the amount of the judgment from his insurer..."). Thus if Respondent's analysis was accepted a federal court could refuse to apply the *Sheets* holding to cases that had identical fact patterns to the very cases Maryland's highest court was harmonizing.

More importantly, in *Sheets* Maryland's highest court was forced to re-examine the test for an occurrence or accident that it had used in its earlier decisions, including the very cases that the trial court and Fourth Circuit relied on in the present case. Id. *Sheets* 342 Md. at 654, 679 A.2d at 549-550. In rendering its decision the Maryland court rejected the objective test used by the trial court and the Fourth Circuit. Id. *Sheets*, 342 Md. at 650-654; 679 A.2d 547-550. Thus the *Sheet's* decision has cast doubt on the use of an objective standard to determine whether an occurrence takes place and principles of federalism do require federal courts to follow *Sheets*. *Huddleston v. Dryer*, 322 U.S. 232, 236-237, 64SCt. 1015, 1017-1018 (1944).

Respectfully submitted,

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